



WHAT IS VWAP?

VWAP or the Volume Weighted Average Price is an indicator that reflects the average price of an asset based on volume. The VWAP is calculated as

$$\text{VWAP} = \frac{\text{Cumulative (Price x Volume)}}{\text{Cumulative (Volume)}}$$

VWAP Session hlc3 0 1 2 3

The VWAP indicator values historical volume transacted at each price level. It acts as reference for fair value of the asset based on volume profile.

VWAP also serves as the dynamic support and resistance and helps identify institutional inflows and outflows of cash. It is a key indicator used by big traders for timing entries and exits.

Let us talk about how to sell a straddle using VWAP now.

